Micron Technology, Inc.

MU NASDAQ

Hold	$799.30 ▼ 6.53%	12M Price Target	52-Week Range	Market Cap
		$850.00	$192.59 – $1255.00	$904.28B

MU: Dems Sweep Spooks AI Trade, Memory Prices in Crosshairs

WHAT HAPPENED

- Dems swept Congress last night and MU got crushed -6.5% while the broader market rallied 1,500 Dow points — that tells you everything. The market is cheering gridlock relief but SELLING the AI memory trade specifically because investors think a Democratic Congress means tougher scrutiny on hyperscaler data center buildouts (power grid concerns, antitrust on Big Tech, maybe even AI regulation).
- Cramer's "Apple winner, Micron loser" call is making the rounds — the thesis being that if data center buildouts slow, memory prices (which have been screaming higher) finally cool off, which helps Apple's margins but kills Micron's pricing power.

WHY IT MATTERS

Here's what's really going on: MU ran from $192 to $1,255 in a year on the back of an HBM (high-bandwidth memory for AI chips) pricing supercycle. The market was pricing in "infinite demand" from Microsoft, Meta, Google, Amazon buildouts. A Democratic Congress doesn't directly regulate memory chips — but it CAN slow the pace of hyperscaler capex through energy policy, permitting reform rollbacks, and renewed antitrust pressure on Big Tech. The options flow is screaming bearish near-term (massive put buying at $815-830 strikes), which suggests smart money thinks there's more downside to flush out before this stabilizes. The bigger picture: this is a sentiment reset, not a business reset — yet. Watch hyperscaler Q4 capex guidance over the next 6 weeks; if they reaffirm, this dip is a gift.

POLICY & POLITICAL WATCH

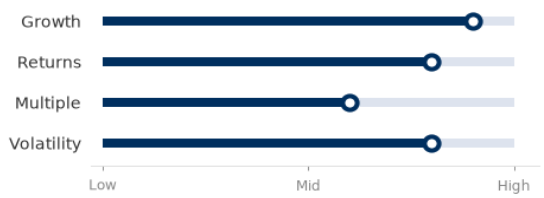
The CHIPS Act remains MU's biggest policy tailwind — they're getting $6.1B in federal grants for Idaho and New York fabs, and Democrats actually wrote that bill so it's safe. The real risk now is energy policy: data centers need massive power, and a Democratic Congress is more likely to restrict natural gas permitting and push renewables-only mandates, which could literally cap how fast hyperscalers can build. Also watch China export controls — Trump-era restrictions on selling advanced memory to China remain in place, but a Dem Congress may push for even tighter controls on HBM3E exports, which hits MU's addressable market.

IS IT EXPENSIVE?

Key Data

Price (USD)	**$799.30**
12M Price Target	**$850.00**
Upside / (Downside)	**+6.3%**
Market Cap	**$904.28B**
FY2026E Revenue	**$48,500M**
FY2027E Revenue	**$62,000M**
FY2026E EPS	**$14.20**
FY2027E EPS	**$19.80**
Fwd P/E	**56.3x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

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MU — Micron Technology, Inc. | November 04, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$900.00**	$820.00	**$720.00**
6 Months	**$1050.00**	$880.00	**$680.00**
1 Year	**$1250.00**	$950.00	**$650.00**
2 Years	**$1500.00**	$1100.00	**$600.00**
5 Years	**$2200.00**	$1400.00	**$500.00**
10 Years	**$3500.00**	$2000.00	**$400.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary (+4.6%), Staples (+3.5%), Real Estate (+3.0%) — classic "gridlock rally" rotation into rate-sensitive and consumer names on hopes the Fed keeps cutting without fiscal stimulus overheating things.

COOLING OFF: Semiconductors broadly, especially AI infrastructure names. The "AI capex forever" trade is getting questioned for the first time in 18 months.

ROTATION WATCH: Money is rotating OUT of AI beneficiaries (MU, NVDA likely under pressure too) and INTO defensive consumer plays and REITs. This is a classic "soft landing + less Big Tech dominance" trade.

RELATED PLAY: If memory prices DO cool, watch Apple (AAPL) — Cramer's right that lower DRAM prices directly expand iPhone margins. Also Dell and HPE could benefit if server component costs ease.

WHO'S WINNING IN THIS SPACE?

- AAPL (Apple): Benefits from any memory price softening — lower component costs = fatter margins on iPhones and Macs.
- AVGO (Broadcom): Custom AI chip exposure that's less dependent on commodity memory pricing dynamics.

MU CONTEXT: MU is lagging HARD today — down 6.5% while the market ripped 1,500 points. That's a 9%+ relative underperformance in a single day, which tells you MU specifically (not semis broadly) is the target. When a stock underperforms by that much on a market-up day, there's usually another leg down before it bottoms.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Long-term AI memory story is intact, but near-term I'd rather watch than catch the falling knife.

POSITION SIZE: 2-4% of portfolio — the volatility (52-week range of $192 to $1,255!) means this can't be a core holding without stomach-churning swings.

ENTRY POINTS: I'd wait for $720-760 or a hyperscaler capex reaffirmation, whichever comes first. The unusual put activity suggests more downside to flush before a real bottom.

TIME HORIZON: 12-18 months — the catalyst is Q4 hyperscaler earnings (Jan-Feb) where we'll find out if AI capex actually slows or if this fear is overblown.

WHEN TO BAIL: If any major hyperscaler cuts 2027 capex guidance, or if HBM spot prices roll over more than 15%, the thesis is broken — get out.

HEDGING: Own some Apple alongside it — if memory prices cool, Apple wins while MU loses, so they offset. Or just keep the position small enough that a 30% drawdown doesn't ruin your week.

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